

Economics

Higher level

Paper 2 – Mark Scheme

SME Predicted Paper – Moderate

General marking guidance:

- Answer ONE question only (Q1 or Q2). This mark scheme gives full indicative content for both.
- Award marks for correct final answers AND for correct working. Accept valid alternative methods.
- Numerical answers should be given exactly or to 2 decimal places unless otherwise specified.
- For 4-mark diagram-based parts (c)–(f): award 1 mark for a correct fully-labelled diagram, 1 for identification of the economic mechanism, 1 for clear explanation of the mechanism, and 1 for explicit linkage to the text/data.
- For 15-mark Part (g): apply the level descriptors provided at the start of each question. Balance, synthesis of text/data, and a clear reasoned judgement are required for Level 4.

Question 1 [40 marks] — Vietnam – FDI and manufacturing-led growth

(a)(i) Define foreign direct investment (FDI) [2]

- 1 mark: Long-term cross-border investment by a firm in productive assets in a foreign country.
- 1 mark: Usually involves a lasting management interest (typically $\geq 10\%$ ownership) in the foreign enterprise, e.g. building factories or acquiring controlling stakes.

(a)(ii) Define inflation [2]

- 1 mark: A sustained increase in the general price level in an economy over a period of time.
- 1 mark: Usually measured by the percentage change in a consumer price index (CPI).

(b)(i) % change in Vietnam's real GDP, 2011–2022 [3]

- 1 mark: Correct formula: $(409.0 - 135.5) / 135.5 \times 100$.
- 1 mark: Correct substitution and working shown.
- 1 mark: Final answer = 201.85% (accept 201.8% to 202%). Allow ECF for a minor arithmetic slip.

(b)(ii) Average annual change in HDI, 2011–2022 [2]

- 1 mark: $(0.726 - 0.672) / 11 = 0.00491$.
- 1 mark: ≈ 0.0049 per year (accept 0.005). Alternative method: total change 0.054 over 11 years also accepted.

(c) AD/AS diagram — FDI and long-run growth [4]

- 1 mark: Correctly labelled AD/AS (LRAS) diagram showing the LRAS curve shifting right (or a rightward shift in SRAS plus AD as appropriate).
- 1 mark: Identifies that FDI adds to the capital stock and/or imports technology (Text A, Para 3).
- 1 mark: Explains the mechanism — increased productive capacity $\rightarrow$ higher potential output $\rightarrow$ lower price level or non-inflationary growth.
- 1 mark: Explicit link to the text (Samsung's 20% of exports; US\$22.4bn FDI in 2022; special economic zones and trade agreements).

(d) Externalities diagram — negative externality from manufacturing [4]

- 1 mark: Correct negative production externality diagram — MPC below MSC, with welfare loss area shaded.
- 1 mark: Identifies a plausible externality (air/water pollution, industrial waste, congestion around EPZs, CO₂ emissions).
- 1 mark: Explains why MSC > MPC — firms do not bear the full social cost; overproduction at Q_m relative to Q_{opt}.
- 1 mark: Explicit link to Text A Para 2 (rapid expansion of electronics/textiles/footwear manufacturing, 25% of GDP).

(e) Exchange rate diagram — dong depreciation & trade balance [4]

- 1 mark: Correctly labelled FX diagram (VND on y-axis, Qty of VND on x-axis) with demand/supply shift depicting depreciation.
- 1 mark: Identifies that depreciation makes exports cheaper in foreign currency and imports more expensive in VND.

1 mark: Explains the Marshall–Lerner / J-curve logic — if PED exports + PED imports > 1, net exports rise, improving the trade balance.

1 mark: Explicit link to Text B Para 1–2 — 3.5% depreciation in 2022 plus the fact that 35% of manufacturing inputs are imported, which dampens the benefit.

(f) Lorenz curve — rising inequality [4]

1 mark: Correctly drawn Lorenz diagram with cumulative % population on x-axis, cumulative % income on y-axis, and line of equality.

1 mark: Shows Lorenz curve bowing further from the line of equality between 2011 and 2022.

1 mark: Explains the Gini change (0.35 → 0.38) — the larger the area between line of equality and Lorenz curve, the higher the Gini.

1 mark: Explicit link to Text A Para 4 — urban/rural gap; FDI-led gains concentrated in manufacturing hubs.

(g) Evaluate: FDI as the most effective strategy for Vietnam's development [15]

Band descriptors. Part (g) is marked using the following band descriptors out of [15]:

0 marks — No relevant economic content.

1–5 marks (Level 1): Little understanding of the specific demands of the question. Few relevant economic concepts identified. Little use of economic terminology. No/irrelevant use of text/data. No/unclear evaluation.

6–9 marks (Level 2): Some understanding of the specific demands of the question. Relevant economic concepts identified and explained with some accuracy. Some use of appropriate terminology. Some limited use of information from text/data. Some evaluation is attempted but may be superficial, one-sided, or unsupported.

10–12 marks (Level 3): Good understanding of the specific demands of the question. Relevant economic theories are explained and applied with accurate use of economic terminology. Clear use of information from the text/data in support of the answer. Evaluation is present and reasonably developed, considering more than one perspective.

13–15 marks (Level 4): Clear understanding of the specific demands of the question. Relevant economic theories are explained and applied accurately and effectively, supported by diagrams where appropriate. Effective and synthesised use of the text/data to support and illustrate the argument. Evaluation is balanced, well-supported, weighs stakeholders and short- vs long-run effects, and reaches a reasoned conclusion (judgement / prioritisation).

Indicative content (not exhaustive):

FOR — FDI has: added productive capacity (Samsung); transferred technology; accelerated real GDP growth 135.5bn → 409.0bn; reduced poverty 14% → 4.8%; supported trade integration via CPTPP/EVFTA.

AGAINST — heavy dependence on a few MNCs (Samsung = 20% of exports); most value-added captured abroad; rising Gini (0.35 → 0.38); exchange-rate pressures from partners over managed float; vulnerability to supply-side shocks (oil imports).

Alternatives — investment in human capital/education (Text B Para 4), domestic industrial policy, green growth policy, fiscal transfers to rural regions, moving up the value chain.

Evaluation/judgement — FDI has been central to past success but its effectiveness is diminishing. A balanced answer should conclude that FDI needs to be combined with education, R&D and stronger domestic supply-chain linkages to remain effective.

Question 2 [40 marks] — Kenya – Export agriculture, climate shocks and AfCFTA

(a)(i) Define current account deficit [2]

1 mark: A situation where the outflows on the current account of the balance of payments exceed the inflows.

1 mark: Outflows include imports of goods and services, net primary income outflows and net secondary income outflows.

(a)(ii) Define public debt [2]

1 mark: The total outstanding borrowing of the government / the accumulated stock of past fiscal deficits owed to domestic or foreign creditors.

1 mark: Often expressed as a percentage of GDP to allow comparison across time or economies.

(b)(i) % change in Kenya's GDP, 2012–2022 [3]

1 mark: Formula: $(113.4 - 56.4) / 56.4 \times 100$.

1 mark: Correct working shown.

1 mark: Final answer = 101.06% (accept 101%). Allow ECF.

(b)(ii) S&D diagram — drought and maize [2]

1 mark: Correctly labelled S/D diagram with supply curve shifting leftward ($S_0 \rightarrow S_1$).

1 mark: Shows new equilibrium with higher price ($P_0 \rightarrow P_1$) and lower quantity ($Q_0 \rightarrow Q_1$).

(c) AD/AS diagram — drought's effect on Kenya [4]

1 mark: Correctly labelled AD/AS diagram with SRAS shifting left (negative supply-side shock).

1 mark: Identifies the drought as a negative supply-side shock affecting food production (30% fall in maize).

1 mark: Explains mechanism — lower real GDP plus higher price level (stagflationary pressure).

1 mark: Explicit link — 4m Kenyans food-insecure; government had to import grain, worsening the current account deficit.

(d) Tariff diagram — AfCFTA and Kenyan producers [4]

1 mark: Correctly labelled tariff diagram showing pre-tariff world price, tariff shifting world price up, and tariff removal moving it back down.

1 mark: Identifies that tariff removal lowers domestic price, domestic production contracts, imports rise.

1 mark: Explains welfare effects — consumer surplus rises; domestic producer surplus falls; government tariff revenue lost; net welfare gain from efficiency.

1 mark: Explicit link — Kenyan producers competing with more industrialised South Africa/Egypt (Text B Para 2).

(e) Exchange rate diagram — remittances and shilling [4]

1 mark: Correctly labelled FX diagram (shilling) with supply of \$ (demand for KES) shifting right due to remittance inflows.

1 mark: Identifies remittances as foreign-currency inflows (US\$4.0bn in 2022).

1 mark: Explains mechanism — higher supply of \$ → shilling appreciates.

1 mark: Link to text — remittances help finance the persistent current account deficit but appreciation would partly offset the 9% depreciation of 2022.

(f) PPC diagram — 'Big Four Agenda' and productive capacity [4]

1 mark: Correctly labelled PPC with two axes (e.g. manufactures and agricultural goods) and outward shift.

1 mark: Identifies investment in manufacturing as expanding capital stock / productive capacity.

1 mark: Explains mechanism — increased investment raises long-run growth potential; outward PPC shift.

1 mark: Link — public debt rose 48% → 68% of GDP (financing cost); opportunity cost of servicing debt vs. spending on investment.

(g) Evaluate: economic consequences of Kenya's participation in AfCFTA [15]

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Indicative content (not exhaustive):

FOR — enlarged regional market (54 countries); reduced dependence on EU demand; trade creation; scale economies for Kenyan firms; long-run productivity gains; consumer benefit from cheaper imports.

AGAINST — infant-industry concerns; domestic manufacturers may be out-competed by South Africa/Egypt; potential widening of the trade deficit in the short run; rules-of-origin and non-tariff barriers limit gains; limited infrastructure to reach other African markets.

Context — persistent current account deficit 5% of GDP; climate vulnerability; rising public debt 68% of GDP constrains fiscal response.

Judgement — AfCFTA offers long-run structural benefits but requires complementary investment (infrastructure, skills) and cautious sequencing. A reasoned conclusion should weigh short-run dislocation vs long-run gains.